ASIAN FINANCIAL CRISIS 1997-98

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East Asian Miracle

Country	1987-96	1997-98	1999-2007	2008-09	2010-2019	2020	2021-22	2023-28F
ASEAN-5	7.9	-2.5	5.0	3.6	5.2	-4.4	4.7	4.6
Indonesia	7.9	-4.2	4.6	6.1	5.4	-2.1	4.5	5.0
Malaysia	9.1	0.0	5.6	1.7	5.4	-5.5	5.9	4.3
Philippines	3.7	2.3	4.8	2.9	6.4	-9.5	6.7	6.1
Thailand	9.5	-5.2	5.2	0.5	3.6	-6.2	2.1	3.2
Singapore	9.3	3.1	6.4	1.0	5.0	-3.9	6.3	2.3
Korea	9.2	0.5	6.3	1.9	3.3	-0.7	3.4	2.2
EMDEs	3.8	3.5	6.2	4.3	5.1	-1.8	5.4	4.0
AEs	3.0	3.1	2.8	-1.5	2.0	-4.2	4.0	1.6
World	3.3	3.3	4.4	1.5	3.7	-2.8	4.8	3.0
China	10.2	8.6	10.2	9.5	7.7	2.2	5.7	4.1
Hong Kong SAR	5.9	-0.4	5.0	-0.2	2.9	-6.5	1.5	2.9
India	5.8	5.1	7.3	6.2	7.0	-5.8	7.9	6.1

- In the decade prior to the AFC, ASEAN-5 countries recorded an annual average growth of 7.9%, thus becoming the fastest growing region after China. Korea, Hong Kong SAR, also recorded similar growth and Japan was also considered part of this growth expansion, though its growth was only temporarily inflated as a result of bubble that got burst by 1992 well ahead of the East Asian crisis. This high growth in East Asia, however, came to know as the East Asian miracle. Of the Asian miracle countries, Hong Kong, Taiwan, S. Korea and Singapore came to be called the Asian tigers
- **What caused this miracle?**
  - rapid liberalization and deregulation of these economies
  - Most of these economies were ruled by authoritarian leaders
  - Despite authoritarianism, they promoted competent bureaucracy
  - Growth oriented policy interventions and removal of structural bottlenecks
  - Creation of institutions to support growth, such as for export promotion

Origins of the Asian Financial Crisis (AFC)

- The AFC was triggered with the **collapse of Thai Baht peg with USD on July 2, 1997**, It was known initially known as the Tom Yam Kung after the famous Thai soup that mixes in it lemon grass, kaffir lime, galangal, shallots, chillis, garlic and maybe shrimps. In Thai language, Tom literally refers to the 'boiling process', while yam means 'mixed'. It was an apt word as though the crisis manifested itself as a currency crisis, it was mixed with serious banking fragilities that brought Thai financial markets to a boiling point.
- Bank of Thailand (BoT) stopped defending the baht after months of downward market pressure, causing the currency to fall quickly. On 14th and 15th May 1997, the Thai baht was hit by massive speculative attacks. **On 30 June 1997, Prime Minister Chavalit Yongchaiudh asserted that he would not devalue the baht. However, Thailand lacked the foreign reserves to support the USD–Baht currency peg, and the Thai government was eventually forced to float the Baht, on 2 July 1997**, allowing the value of the Baht to be set by the currency market.
- **On 11 August 1997, the IMF unveiled a rescue package for Thailand with more than $17 billion**, subject to **conditions** such as passing laws relating to bankruptcy (reorganizing and restructuring) procedures and establishing strong regulation frameworks for banks and other financial institutions. **The IMF approved on 20 August 1997, another bailout package of $2.9 billion.**
- Poverty and inequality increased while employment, wages and social welfare all declined as a result of the crisis.

Contagion in the Asian Financial Crisis (AFC)…(1)

- **On Oct 31,1997 IMF delivered a US$40 bn rescue package for Indonesia** after its government agreed to close 16 financially insolvent banks and agreed to wide ranging structural reforms and stabilization conditionalities. At the same time, it delayed US$700 million installment to Russia as it undershot its tax collection benchmark.
- **On November 3, one of the top 10 Japanese brokerage form, Sanyo Securities, declared bankruptcy unable to pay US$3 bn in liabilities**.
- **On November 17, one of the top 10 Japanese bank, Hokkaido Takushoku collapsed with large bad debt (NPLs). Parallelly Bank of Korea abandoned its defence of won allowing it to sink below 1000 to a dollar** and requested for IMF loan four days later, that faced stiff domestic opposition.
- **On Nov. 23 Clinton at APEC summit underplayed the crisis as "few glitches in the road" for South-East Asia** adding to incredibility amongst investors about the region. He separately urged tough medicine for Korea.
- **December 3, 1997 IMF approved US$57 billion bailout package for Korea**
- **December 8, Thailand closed 56 insolvent financial firms as part of the conditionality** for IMF package leading to 30,000 white-collar workers losing their jobs. IMF MD Michael Camdessus praised Thailand for making solid progress
- **December 12, IMF restarts loan disbursements to Russia**

Contagion in the Asian Financial Crisis (AFC)…(2)

- AFC spread from Thailand like wildfire with contagion across markets and across geographies
- **While Malaysia intervened heavily to defend Ringgit, Philippine peso was devalued on July 11, 1997 and Indonesia was forced to widen its trading band for rupiah**. On **July 18, 1997 IMF announced package for Philippines** to protect its peso/
- **By July 24, Singapore dollar came under pressure even as Malaysian PM, Mahathir lashed out on rogue speculators and named George Soros behind the crisis.**
- On August 5, IMF came to aid of Thailand with a US$17 bn package but against tough fiscal austerity and Thai government closing 42 ailing finance companies
- **On August 14, Indonesia abandoned its rupiah trading band alltogether, allowing it to float freely causing a fresh plunge in its currency.**
- On Oct 8, Indonesia sought IMF & World Bank aid triggering fresh fall in rupiah that depreciated 30% in two months as a result despite large FX interventions.
- **On Oct 23, 1997, Hong Kong raised its interest rates by 300% against speculative attack on its currency despite the currency board. As a result, its stock index fell 10.4% wiping out US$29.3 bn in market cap.** Korean won came under pressure
- **On October 27, the contagion spread to US with Dow Jones falling 554 points- its biggest fall till that point. Trading in US stock markets were suspended**.

Contagion in the Asian Financial Crisis (AFC)…(3)

- December 18, Korea opposition party leader, Kim Dae Jung, elected President. Within days Korean won hit new lows.
- **December 23: World Bank in an unprecedented move released US$3 bn as an emergency loan as part of US$10 bn package for South Korea**
- December 24: South Korea gets US$10 bn from IMF and G-7 to forestall a default on its short-term debt by agreeing to liberalization and financial reforms
- January 7, 1998: world Bank Chief Economist, **Joseph Stiglitz in a speech in Helsinki, breaks with orthodoxy and questions assumptions and effects of 'Washington Consensus'**
- **January 8: International creditors agree to 90-day rollover of Koreas short-term debt**. At the same time Indonesia rupiah tanks to all-time low after **President Suharto presents budget that did not comply with IMF conditionalities** and reform package. Riots on street occurred the following day as Indonesians cleared and ransacked food stores to stock them up fearing fresh round of currency collapse may raise food prices beyond their purchasing power. The next day, pressured by the IMF, Suharto agrees to postpone 15 major government subsidized projects to help cut spending and foreign debt. Many of these projects were linked to Suharto's family.
- January 13: massive students protests on streets of Jakarta, even as Korean labour union agreed to discuss lay offs sought as part of IMF conditionalities behind its $57 bn package
- January 15: Suharto signs new loan deal with IMF agreeing to eliminate monopolies and subsidies. **Rupiah goes into free fall breaching 10,000 mark and panic buying resumes. Rupiah touched all time low of 12,000 on 22nd Jan**
- January 28: International banks agree to restructure Korea's US$24 billion in short-term debt into long-term debt.

Contagion in the Asian Financial Crisis (AFC)…(4)

- February 6: Korean unions agree to legalize lay offs and a legislation to that effect is ratified in National Assembly
- February 19: IMF MD Camadessus announces 1-year loan program for Russia
- March 9: IMF delays US$3 bn installment of the US$40 bn IMF loan citing Indonesia's unwillingness for agreed reforms. Suharto lashes out at IMF saying the sought reforms are unconstitutional.
- March 11: Suharto sworn in for 7th term as President
- March 23: Yeltsin dismisses his entire cabinet
- March 24: US announces US$70 mn in food and medical aid to Indonesia in an attempt to stem food riots even as IMF package remains suspended.
- **April 8: Indonesia reach third bailout agreement in 6-months with IMF** and resumes lending by May 4 releasing US$1 billion as Indonesia raise energy prices. Students' protests intensify. On May 12 army opens fire on students leaving six students dead sparking further riots.
- **May 21, Suharto resigns after 32 years** handing over to Vice President Habibie power. The next day IMF postpones disbursement of US$1 bn due on June 4
- **May 27: Russia triples interest rate to 150% to avert the collapse of Ruble** amid financial collapse. A 2-day Nationwide strike in Korea as unemployment rise as Korean companies were laying off 10,000 workers a day.
- June 1, 1998: Russian stock market crashes. Russian loses US$14 bn in reserves trying to defend ruble. Clinton pledges support to Yeltsin.
- **June 12: Japan announces it is in recession** for the first time in 23 years.

Contagion in the Asian Financial Crisis (AFC)…(5)

- **June 17: Yen falls to 144 rattling Wall Street. Fed and BoJ underakes coordinated intervention of S$ 6 bn to prop up Yen**.
- June 24: IMF releases loan installment of US$ 670 mn to Russia after its PM Kirienko submits a fiscal austerity plan to IMF
- June 25: In a change of heart amid widespread criticisms in the backdrop of continuous chaos, IMF announces fourth bailout agreement with Indonesia agreeing to restore food & fuel subsidies and providing another US$4-6 bn for basic necessities.
- July 1: Russian lower house, Duma, postpones spending & tax reforms to close budget deficit and qualify for IMF loan.
- July 6: Russian markets tumble as government fails to raise cash by disinvestment in oil companies
- **July 10: In a bid to save Yeltsin, Clinton calls for IMF to quickly close agreement with Russia** prompting markets to rally
- **July 13: IMF announces US$23 bn of emergency loan to Russia**. Markets rally.
- July 16: Duma approves some of Yeltsin's US$16 bn proposed tax reforms but rejects sales and land taxes
- **July 19: Yeltsin vetoes tax cuts approved by parliament and decrees 3% tax on imports and quadrupling of land taxes to close budget deficit to secure IMF loan**
- July 20: IMF approves $22.6 billion loan package for Russia. However, first two installments were reduced from US$4.6 bn to US$4.8 bn after Duma fails to approve some of the austerity measure conditionalities
- **July 28: IMF announces it will ease its conditionalities in Korea** amid rising unemployment
- August 3, 1998: amid continued Asian and global turmoil, Dow plunges 300 pts – its third biggest fall
- August 4: Hong Kong dollar comes under fresh speculative attack and fears grow that China might devalue its currency

Contagion in the Asian Financial Crisis (AFC)…(6)

- August 6: World Bank approves US$1.5 bn loan for Russia as Moscow puts pressure on striking miners, but Adian markets plummet as China and Hong Kong move to defend their currencies amid speculative attacks
- August 11: World is rocked by ongoing financial meltdown in Asia and collapse of Russian stock markets with trading temporarily suspended
- August 13: Russian markets collapse further on fears of debt default. But Yeltsin next day rules out Ruble devaluation. However, Hong Kong stocks rally as speculative attack on currencies seem to be failing amid strong interventions.
- **August 17: Russia announces devaluation of ruble and a 90-day moratorium** but West denounces Russian debt default. Latin American stock and bond markets plunge on fears that LaAm countries may also devalue.
- **August 19: Russia defaults on GKOs (T-bills).** G-7 says it won't provide additional loans to Russia until it meets its obligations.
- Contagion spreads to world markets. Duma calls for Yeltsin's resignation. Global investors move to dollar as safe haven and yields drop to record lows.
- Yeltsin dismisses Kirienko and appoints Viktor Chernomyrdin as PM
- August 31: Dow plunges 512 points amid contagion from Russia
- Sept 4, 2008: Greenspan says Fed ready to cut interest rates even as latAm stocks and bonds continue to fall
- Sept 10: Dow falls 249 points as Brazilian stocks fall 16%. Yeltsin nominates Yevgeny Primakov as PM.
- **September 11, 1998: Investors continue to flee Brazil with outflows of over YS$2 bn a day** even as its central bank raises interest rates by 50% and IMF it is ready to lend emergency line of credit to Latin American countries

Contagion in the Asian Financial Crisis (AFC)…(7)

- September 17: Nikkei hits a 12-month low as global stock markets continue to be routed. Dow drops 216 points. Congress blocks Clinton’s request for US$18 bn in funding to IMF.
- **Sept 23: Amid LTCM crisis, FRBNY pushes a consortium to provide US$3.5 bn bailout to LTCM** - the largest US hedge fund. Next day US markets fall further as fears grow that LTCM failure will take down top US banks.
- September 29: Fed cut interest rates by 25 bps, but markets continue to fall next days as it was seen Fed not doing enough
- **October 3: Japan announces US$30 bn package for South-East Asia.** G-7 ministers create a rescue plan for Brazil.
- October 15: fed cuts another 25 bps causing markets to rally
- October 22: Moscow creates an emergency food reserves amid winter food shortages and asks central bank to print at least US$1.2 bn for paying wages backlog, for food supply program and for rescuing banks.
- October 27: Brazilian President, Fernando Cardoso announces US$80 bn tax hikes and spending cuts over 3-years to secure IMF package
- Oct 31: IMF stalls Russian disbursements till Russia produces credible budget
- **Nov 5: Russia agrees to repay global investors US$40 bn in frozen debt but asks for reschedule US$17.5 bn of debt due in 1999**. Next day YS agrees to provide US$3.1 million in food aid to Russia.
- **Nov 13: IMF announces US$41.5 bn bailout of Brazil**
- Nov 17: Fed cuts again citing credit market strains
- **Jan 15, 1999: Brazil floats its currency**

Causes of the Asian Financial Crisis (AFC)

- Foreign debt to GDP ratios rose from 100% to 167% for the ASEAN-4 (Indonesia, Philippines, Malaysia & Thailand) during 1993–96, and then shot up beyond 180% during the worst of the crisis. In South Korea, the ratio was much lower but rose from 13% to 21% and then as high as 40%.
- A buildup of overheating pressures, evident in large external deficits and inflated property and stock market values;
- The prolonged maintenance of pegged exchange rates, in some cases at unsustainable levels, which complicated the response of monetary policies to overheating pressures and which came to be seen as implicit guarantees of exchange value, encouraging external borrowing and leading to excessive exposure to foreign exchange risk in both the financial and corporate sectors;
- A lack of enforcement of prudential rules and inadequate supervision of financial systems, coupled with government-directed lending practices that led to a sharp deterioration in the quality of banks' loan portfolios;
- problems resulting from the limited availability of data and a lack of transparency, both of which hindered market participants from taking a realistic view of economic fundamentals; and
- Problems of governance and political uncertainties, which worsened the crisis of confidence, fueled the reluctance of foreign creditors to roll over short-term loans, and led to downward pressures on currencies and stock markets.

Malaysia's Unorthodox Response to AFC: Pegged Exchange Rate & Capital Controls

Mahathir Bin Mohd., PM Malaysia, 1981-2003 & 2018-2020

- In 1997, the Asian Financial Crisis (AFC) threatened to devastate the Malaysia's economy, the way Indonesia was. The value of the ringgit plummeted in face of speculative attack as foreign investment fled. The Kaula Lampur stock exchange index (KLSE) Composite Index (CI) fell by over 75%.
- Initially, Malaysia cut government spending and raised interest rates as advised by the IMF. However, this exacerbate the economic distress and the neighbouring Indonesia situation was witnessing riots on the street because of the IMF reform package.
- In 1998, Mahathir went against the advice of IMF and even as his political opponent Finance Minister, Anwar, was increasing government spending and fixing the ringgit to the US dollar, Mahathir in a clever move dismissed the Finance Minister taking credit for the policies.
- The result confounded his international critics and the IMF. However, Malaysia recovered from the crisis faster than its Southeast Asian neighbours. The recovery was adjudged as a personal political triumph for Mahathir.
- Earlier Mahathir had already consolidated his political power by taking on the Malaysian royalty after the Gomez incident in which Sultan Iskandar's son, a hockey player physically beat his opponent and was suspended for 5-years for competition. Iskandar retaliated by withdrawing Johar hockey teams from competition. He also had the coach beaten for having criticized the withdrawal. Mahathir reacted by removed constitutional immunity of Sultans.

Lessons from the Asian Financial Crisis (AFC)

Growth of bank credit to the private sector less growth in nominal GDP			
	1990-94	**1995**	**1996**
Indonesia	10.4	4.4	5.7
Thailand	10	11.1	5.8
South Korea	2.6	2.2	−0.6
Malaysia	3.1	10.5	13.1
Philippines	10.7	27.4	31.5
Singapore	0.8	7.8	5.7
Hong Kong	8.8	8.9	−6.1

Liquidity and Currency Mismatch Variables Ratios at end-june 1997				
	M2/ international reserves	**Short-term external debt/total**	**short-term external debt/international reserves**	**short-term external borrowings/ total**
	(a)	(b)	(c)	(d)
Indonesia	6.2	1.6	0.2	0.6
Thailand	4.9	1.1	0.5	0.7
South Korea	6.2	3	0.7	0.7
Malaysia	n.a.	0.6	0.4	0.6
Philippines	4.9	0.7	0.2	0.6
China	8.2	n.a.	n.a.	0.5
Taiwan	5.8	n.a.	n.a.	0.9
Argentina	3.6	1.1	0.2	0.5
Brazil	3.5	0.7	0.2	0.6
Chile	1.8	0.4	0.3	0.4
Mexico	4.2	1.3	0.2	0.5

- Pegged exchange rate regimes cause exchange rate misalignments and are one of the principal causes of financial crises in the emerging markets
- Rapid credit growth is often a cause of financial crisis and weak financial sector regulation and magnifies it
- Macroeconomic vulnerabilities, especially large external deficits are added source of financial instability
- Large proportion of short-term debt is a problem that leads to financial crises amid other shocks
- Countries with open capital accounts with free mobility of capital are more susceptible to financial crisis as the trilemma needs to be managed
- However, hard capital controls can only provide a temporary respite and are costly in terms of reputational loss they inflict in the eyes of global investors

Asian Financial Crisis (AFC)

- The AFC was triggered with the collapse of Thai Baht peg with USD on July 2, 1997. With the Thai government floating Thai Baht capital flight ensued triggering chain across Southeast Asia and beyond. Not only the Korean won slumped but even the Japanese Yen, a hard currency, depreciated. Contagion spread to stock markets and other asset prices across the region and even in other parts of the world. Foreign debt to GDP ratio for the ASEAN-4 climbed from ~100% to ~180% as private debt defaults followed. Soth Korea, Thailand and Indonesia were worst affected, but Hong Kong, Malaysia and Philippines were also hurt. Contagions were felt into 1998.
- Indonesian President Suharto had to step down on May 21, 1998on 21 May 1998 in the wake of widespread rioting that followed sharp price increases caused by a drastic devaluation of the rupiah. The rupiah that traded in 2000-3000 range per US dollar in the early stages of crisis, fell to 16,800 in June 1998.
- Though the crisis unfolded as currency crisis, the roots lay in banking fragilities, especially in Thailand and Indonesia with high leverage and NPLs
- IMF lent about US$118 bn in loans to Thailand, Indonesia and Korea to stabilize the region, while additional financial support came from Japan.